



New Labour Code 2026: India A Complete & Simple Guide for Employees and Employers

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New Labour Code 2026: A Complete and Simple Guide for Employees and Employers in India



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India has made its biggest change to employment law in 70 years. 29 old laws have been replaced by new Labour Codes. Whether you are an employee or an employer in India, this guide tells you exactly what changed, what it means for your salary, and what you need to do right now — in simple language.



29	4	50%	1 Year	48 Hrs
Old Laws Replaced	New Labour Codes	Min Basic Pay	Contract Gratuity	Exit Settlement

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What Are the New Labour Codes?

For decades, India’s workplace was governed by 29 different laws — some of them written in the 1920s and 1940s. These laws were outdated, confusing, and often contradicted each other. Businesses found it hard to comply, and workers did not always know their rights.

The Government of India decided to clean this up. **All 29 laws have been consolidated into 4 simple Labour Codes.** These were officially notified by the Ministry of Labour and Employment on 21 November 2025, and full enforcement began rolling out from April 1, 2026.

QUICK FACT

The four Labour Codes are effective across India. Since Labour is a concurrent subject under the Constitution, each state also needs to notify its own rules. Several states have already done so, and others are in progress.

This is not a small update. This is the most significant reform to Indian employment law since Independence. Whether you are a factory worker, an IT professional, a delivery partner, or a business owner — this affects you directly.

The 4 Labour Codes — Simply Explained

Here is what each of the four codes covers, in everyday language:

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Covers minimum wages, payment of wages, bonus rules, and equal pay for equal work. Replaces 4 old laws including the Minimum Wages Act 1948.

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INDUSTRIAL RELATIONS CODE (2020)	Covers trade unions, hiring and firing rules, strikes, and industrial disputes. Replaces 3 laws including the Industrial Disputes Act 1947.
SOCIAL SECURITY CODE (2020)	Covers PF, ESI, gratuity, maternity benefits, and — for the first time — social security for gig and platform workers.
OSH CODE (2020)	Covers workplace safety, working hours, leave rules, welfare provisions. Applies to factories, offices, mines, and construction sites.

Key Updates Under Labour Codes 2026

1. The 50% Wage Rule — The Biggest Change in Labour Law

This is the single most impactful change in the new Labour Codes, and it will affect the salary of nearly every employee in India.

What is the 50% Wage Rule?

Under the new Code on Wages, “wages” are defined as: **Basic Pay + Dearness Allowance (DA) + Retaining Allowance**. The new law says that these wages must be at least **50% of your total CTC (Cost to Company)**.

All other components — like HRA, travel allowance, special allowance, etc. — cannot together exceed 50% of your total salary. If they do, the excess is automatically treated as wages for calculating PF, gratuity, and ESI.

WHY DOES THIS MATTER?

For years, many companies kept Basic Salary artificially low — sometimes just 20-30% of CTC — and paid the rest as allowances. This reduced their PF and gratuity obligations. The new rule closes this loophole permanently.

Hi! Are you looking for Services?		Comparison	
		Old Rule	New Rule (2026)
Yes Basic Pay as % of CTC		No minimum (often 20-30%)	Minimum 50% of CTC
PF Calculation Base		Only on low basic pay	On higher wage base (50%+ of CTC)



Gratuity Calculation Base	Only on basic + DA	On higher redefined wage base
Monthly Take-Home	Higher (less PF deducted)	Slightly lower (more PF deducted)
Retirement Savings (PF + Gratuity)	Lower	Significantly higher

THE GOOD NEWS FOR EMPLOYEES

Yes, your monthly take-home salary may reduce slightly. But your PF corpus and gratuity payout will be significantly higher. You are not losing money — it is going into your retirement savings, which belongs entirely to you.

2. Gratuity: New Rules in 2026

Gratuity is a lump sum payment that employers give to employees when they leave the company (after resignation, retirement, or death).

What Changed in Gratuity Rules?

The old law required 5 continuous years of service before an employee became eligible for gratuity. For permanent employees, this rule remains the same. However, for fixed-term or contract employees, the rule has changed drastically:

NEW RULE FOR CONTRACT WORKERS

Fixed-term employees are now eligible for pro-rata gratuity after just 1 year of service — not 5 years. This is effective from 21 November 2025. The formula remains the same: 15 days of wages for every completed year of service. But the wage base is now higher due to the 50% rule, meaning the final payout will be larger.

Additionally, even long-serving permanent employees will receive a higher gratuity payout because the definition of “last drawn wages” now uses the broader wage base — at least 50% of CTC.

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3. Gig Workers Get Social Security — A Historic First

Yes

drive for a cab aggregator, deliver food for a platform, or freelance through an app — you now have legal rights under the Labour Codes for the first time in India’s history.



The Social Security Code 2020 formally extends social security coverage to gig workers and platform workers. India currently has approximately 7.7 million gig workers, a number projected to reach 23.5 million by 2030.

Under the new rules, platform companies (aggregators) will be required to contribute toward a Social Security Fund for their workers. This can cover health benefits, disability insurance, maternity benefits, and old-age support.

CURRENT STATUS

The framework is now law. The specific contribution rates for gig workers are subject to a separate Central Government notification, expected soon. Aggregators should already be preparing their systems for this.

4. The 4-Day Work Week Option

The new Occupational Safety, Health and Working Conditions (OSH) Code allows companies to offer a 4-day work week. Here is how it works:

OPTION A: 5-DAY WEEK	OPTION B: 4-DAY WEEK
Work 9.6 hours/day, 5 days a week. 2 days off. Standard model.	Work 12 hours/day, 4 days a week. 3 days off. Available at employer’s discretion.

Important: the total weekly working hours remain capped at 48 hours. The 4-day week is not mandatory — it is a flexibility option. Any work beyond the prescribed hours must be paid at double the normal wage rate.

5. The 48-Hour Exit Settlement Rule

When an employee leaves a company — whether by resignation or termination — the employer must complete the full and final (F&F) settlement within 48 hours.

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Companies could take 30-45 days or longer. This left many employees. New rule makes 48-hour settlement a legal requirement, not a best

Yes

IMPORTANT FOR EMPLOYERS



Manual exit processes will no longer be sustainable. Companies need to upgrade their HR and payroll systems to automate F&F calculations — including the new wage definitions, updated PF

and gratuity bases, and TDS calculations under the new Income Tax Act 2025.

What the New Labour Codes Mean For You as an Employee

- **Salary Restructuring:** Your salary may be restructured to comply with the 50% rule. Your gross CTC stays the same.
- **Take-Home Pay:** Your monthly take-home might slightly reduce due to higher PF deductions — but this money is yours, saved for retirement.
- **PF Savings:** Your PF corpus will grow faster — higher basic = higher PF contribution from both you and your employer.
- **Higher Gratuity:** Whether you are permanent or on a fixed-term contract, you stand to receive a bigger gratuity payout.
- **Gig Workers:** If you are a gig worker, you will soon have access to social security benefits previously unavailable to you.
- **Faster Exit Settlement:** If you resign, your employer is legally required to pay all dues within 48 hours.
- **Workplace Safety:** Better workplace safety standards apply, especially in factories and construction environments.

What Employers Must Do Right Now

- **Audit Salary Structures:** Check if basic pay is below 50% of CTC for any employee. If yes, restructuring is mandatory.
- **Update All Contracts:** New rules on fixed-term employment, gratuity eligibility, and benefits must be reflected in contracts.
- **Recalculate PF & Gratuity:** Contributions and provisions need to be updated in line with the revised wage base.

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are: Manual systems cannot handle the complexity of the new
s reliably.

ments: 48-hour settlement requires technology, not paperwork.

Yes Automate F&F workflows immediately.

- **Track State Notifications:** Implementation details vary by state. Check your state's labour department portal.



- **Consult a Labour Law Expert:** The transition involves hybrid gratuity computation for employees serving before Nov 2025. Professional advice is strongly recommended.

FROM mercurius

Our compliance team is actively helping businesses across India navigate the transition to the new Labour Codes. From CTC restructuring to state-specific compliance audits — we are here to guide you. [Reach out to us](#) for a free initial consultation.

Frequently Asked Questions (FAQs)

1. Are the new Labour Codes applicable from April 1, 2026?

Yes. The four Labour Codes were officially notified effective 21 November 2025. Full operational enforcement was targeted for April 1, 2026. However, since states must also notify their own rules, the exact date may vary by state. If your state has already notified final rules, compliance is immediately mandatory.

2. Will my take-home salary definitely decrease?

Not necessarily. If your basic pay is already at or above 50% of your CTC, there is no change. If it is below 50%, your employer will need to restructure your salary. In that case, your in-hand salary may reduce slightly, but your PF and gratuity savings increase correspondingly. Your total CTC does not change.

3. Does the 1-year gratuity rule apply to permanent employees?

No. The 1-year gratuity eligibility applies specifically to fixed-term (contract) employees. Permanent employees still need to complete 5 years of continuous service to qualify for gratuity.

4. Are annual performance bonuses counted as wages?

No. The Ministry of Labour confirmed in its March 2026 FAQ that annual performance-based incentives do not form part of “wages” for statutory calculations under the Labour Codes.

5. Does overtime pay count toward the 50% wage calculation?

Yes. The Ministry clarified in March 2026 that overtime allowance is included within the 50% wage floor computation. Employers in industries with significant overtime should audit their CTC

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Government resources?

Yes, FAQs, and updates are available on the Ministry of Labour and
employment website at labour.gov.in. The March 16, 2026 FAQ document published by MoL
the most recent authoritative guidance available.



Final Thoughts

India’s new Labour Codes are the most transformative change to the country’s employment landscape in seven decades. For employees, they mean better retirement savings, fairer gratuity, faster exit settlements, and — if you are in the gig economy — social security protection for the very first time.

For employers, they demand urgent action: salary restructuring, contract updates, payroll system upgrades, and state-level compliance tracking. The cost of non-compliance — retrospective PF liabilities, gratuity shortfalls, and inspection penalties — is real and growing with every payroll cycle.

At Mercurius, we are committed to keeping you informed, compliant, and ahead of the curve. If you have questions about how the new Labour Codes apply to your specific situation, our team of legal and compliance experts is ready to help.

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